



THE 80/20 PRINCIPLE

The Secret to Achieving More with Less

RICHARD KOCH



The Big "So What"

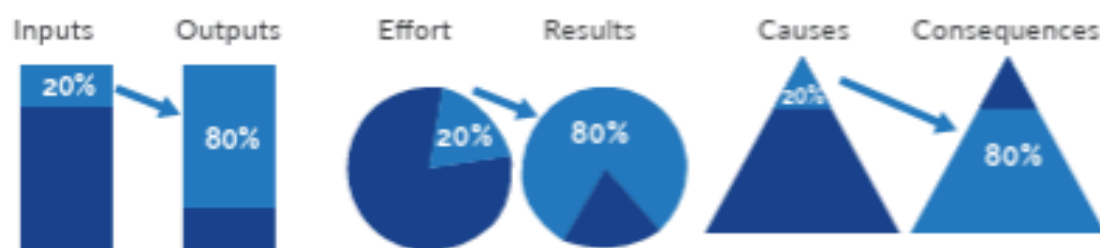
In all aspects of life, 80% of outputs, results and consequences come from 20% of inputs, efforts and causes. Koch was the first to write a book to present **how individuals and groups can apply the 80/20 Principle to achieve much more results with much less effort.**



What's the 80/20 Principle?

 The 80/20 Principle says that the majority of your results or outputs will come from a minority of causes or inputs.

- The principle was discovered in 1897 by economist Vilfredo Pareto and became popular after WWII. Today, it's also known as the Pareto Principle, the 80/20 Rule, the Principle of Least Effort, the Principle of Imbalance, the Pareto Law, the Law of the Vital Few, and the Principle of Factor Sparsity.
- The ratio may not always be exactly 80/20, i.e. it could be more imbalanced at 99.9/0.01 or less imbalanced at 60/40. The key idea is this: there's typically a non-linear relationship between input and output, between effort and results, and between causes and consequences.



The 80/20 Principle is always at work whether you realize it or not.

- In business, 20% of our products/customers tend to contribute to 80% of our revenues/profits. In society, 20%

KEY QUOTES

"The 80/20 Principle can and should be used by every intelligent person in their daily life, by every organization, and by every social grouping and form of society."

"The 80/20 Principle states that there is an inbuilt imbalance between causes and results, inputs and outputs, and effort and reward."

of people own 80% of the wealth. At home, we'll wear 20% of our clothes 80% of the time.

- The principle means that (i) 4/5th of what you do is wasted or has minimal impact and (ii) you can multiply your output by focusing on the 1/5th that truly matters. By understanding and applying the principle, you can become a lot happier and more effective.



Fundamentally, the universe doesn't move in a straight line. Small inputs can create disproportionate results.

- Feedback loops can amplify the impact of positive vs negative relations. If you start with 2 populations of goldfish—with 1 group being only slightly bigger—the larger group will grow significantly bigger over time. Each generation of fish eats more, grows bigger and the impact is multiplied with each cycle. Likewise, the rich get richer because they can re-invest and multiply their ever-increasing assets.
- Initially, any change will face resistance. However, once it reaches a tipping point, it takes on a life of its own. That's why a flu bug can create a health crisis once a critical number of people have been infected and can now infect many others.
- Something small can also have a disproportionate rippling effect on future events. Many norms/standards were set by a small group of people adopting a specific practice, e.g. all clock-hands move in the clockwise direction due a convention set by early clock-makers.



Applying the 80/20 Principle

The 80/20 Principle means that there's great inefficiency all around us, but it also means there's a huge potential to improve our current results. In this section, we explain how to apply the principle in general, in business and in life.

General Approach and Tips



Identify your top 20% vs bottom 80% using 2 possible approaches:

KEY QUOTES

"Most of the time, we do not realize the extent to which some resources, but only a small minority, are superproductive."

"The world is full of small causes that, when combined, can have momentous consequences."

"Waste can be wonderful news...there is enormous scope for improvement."

- 80/20 Analysis: Develop a hypothesis about an 80/20 relationship and test it by collecting and comparing 2 sets of data. For example, ask 100 friends how much beer they drank the previous week, then rank the data in decreasing order to find out what percentage of your friends consumed the majority of the beer. You may find that 15% of your friends drank 90% of the beer.
- 80/20 Thinking: Think deeply about an important question, form your 80/20 hypothesis intuitively, then take action to apply it.



Then, allocate your time/resources using these 2 approaches:

- Allocate more resources to the top 20% by moving time/resources away from the unproductive 80%. Do more of what's working well.
- Address the underperforming 80%: Find ways to make the unproductive activities more productive or effective.



Remember these vital points when applying the 80/20 Principle:

- Be selective. Working harder in every area won't bring results. Seek to excel in the few things that matter the most. Remove or outsource the rest.
- Keep moving your resources from low-value to high-value uses.
- Don't make simple/linear conclusions or jump into action. Think deeply to look for non-linear relationships that can bring you exponential results. Dig deep to understand why you're getting surprisingly good or bad results in certain areas.
- There's no such thing as luck in success. When things go unexpectedly well or badly, look for the hidden causes at work. Most people notice something only after it has become big and has slowed down in growth. Watch for small things that are growing rapidly—these are where the biggest opportunities lie.

KEY QUOTES

"The implication of the 80/20 Principle is that output can be... multiplied, if we can make the low-productivity inputs nearly as productive as the high-productivity inputs."

"80/20 Thinking requires, and with practice enables, us to spot the few really important things that are happening and ignore the mass of unimportant things. It teaches us to see the wood for the trees."

- Your 80/20 analysis gives a snapshot of the input-output relationship at a point in time—this will change with time.

The 80/20 Principle in Business



In any market, 20% of the players will make 80% of the surpluses or profits. 80% of these surpluses will be generated by 20% of market segments, 20% of customers, 20% of products and 20% of employees. 80% of the value from the employees will also come from 20% of their activities. On the other hand, 80% of problems and costs will come from 20% of causes or issues. **By using this principle, businesses can generate the most money with the least effort and resources.**



Strategy. A successful firm is one that generates more surpluses than its competitors with less cost. Identify and optimize the top 20% of every business area—from products to employees and offices—that generate 80% of your surpluses.

- Analyze your business areas. Do an 80/20 analysis by (i) product type/group, (ii) customer type/group, and (iii) other splits (e.g. geographical area or distribution channels). Calculate the amount of sales, profits and return on sales. Identify the few places where you're making unusually high surpluses or losses, then dig deep to find out why.
- Combine ≥ 1 of the analyses above (e.g. product and customer analyses) and list down every competitive segment where you face a different competitor or have a different competitive position. Then, do an 80/20 analysis for each competitive segment.
- From the analysis, classify your businesses into 3 groups: Priority A (the most profitable), Priority B (average or below-average performers) and Priority X (loss-makers). Focus on growing Priority A businesses most aggressively. Decide what to do with Priority B and Priority X businesses based on (a) how attractive the market segment is and (b) how well positioned your firm is in that segment.
- Use the 80/20 Principle to brainstorm ideas for the top 20% vs bottom 80% of your business. Use questions like: "What 20% of our offerings deliver 80% of customers' perceived value and how can we increase it to $>20\%$?" or "Which 80%

KEY QUOTES

"The principles of unequal effort and return...operate at all levels of business: markets, market segments, products, customers, departments, and employees."

"Unless you have used the 80/20 Principle to redirect your strategy, you can be pretty sure that the strategy is badly flawed."

"The best way to examine the profitability of your business is to break it down into competitive segments."

"The best way to start making money is to stop losing money."

of our features deliver only 20% of benefits and how can we remove, replace or simplify them?". Carpet supplier Interface realized that 20% of clients' carpets were getting 80% of the wear and tear; so they came up with a leasing scheme where clients could replace worn/damaged carpet tiles rather than change the whole carpet.



Reduce costs. As a rule of thumb, keep your business simple even as you grow bigger. Examine every aspect of your business, from your marketing messages to your delivery channels, product design and customer service. Focus on the most essential 20% and simplify it as far as possible. Seek to sell a narrower range of products to fewer customers, have fewer suppliers or outsource non-core activities.

- Simplify or remove unprofitable activities.
- Focus on a few key drivers for improvement. Zoom in on the 20% of your business with the greatest potential for cost-reduction and invest 80% of your efforts there.
- Continuously improve the performance of the top 20% of your business and simplify/improve the bottom 80%.



Marketing. 20% of your products/customers will bring 80% of your profits. Don't try to cater to *all* customers and products; be marketing-led and customer-centric *only* for your core products and customers.

- Know which 20% of your product line brings 80% of your profits—focus on outstanding delivery in those areas.
- Know which 20% of customers bring 80% of your profits—focus on delighting, retaining and increasing sales from them.
- Ensure that the entire company (not just the marketing team) is obsessed with your top 20% customers. Retain and increase your market share of core customers by (i) knowing who they are, (ii) delivering unbelievable service to them, (iii) tailoring new products/services specifically for them, and (iv) retaining them.

KEY QUOTES

"The problem is not extra scale, but extra complexity...Big is only ugly and expensive because it is complex."

"Whenever something has become complex, simplify it; if you cannot, eliminate it."

"Identify, treasure, and multiply the few productive costs, and get rid of the rest."

"Successful marketing is all about a focus on the relatively small number of customers who are the most active in consuming your product or service."

"Your core customers are money in the bank. If any of them drops out, your profitability will suffer."



Sales. To improve your company's sales, focus on 2 key areas:

- Improve salespeople's performance. 20% of your salespeople will bring in 80% of your sales.
 - (i) Seek to retain the high performers;
 - (ii) Figure out what makes them tick (e.g. skills, attitude) and hire more of such people;
 - (iii) Identify what top performers do differently and teach those methods to others; and
 - (iv) Use the 80/20 rule for training: (a) train people who're likely to stay, (b) get the top salespeople to train others and incentivise them for their trainees' performance, and (c) invest more to train those who show the most improvements.
- Set up your structure to help people to focus on the right areas.
 - (i) Insist that your salespeople focus on the top 20% of customers and products even if it means neglecting others.
 - (ii) Consolidate accounts with the highest sales/profits under 1 salesperson or team. Don't split them by geographical offices.
 - (iii) Instead of dropping less profitable accounts; consider centralizing them or using lower-cost options (e.g. telephone ordering and self-servicing).
 - (iv) Revisit great customers who're no longer with you.



Decision-making. Use these tips to make better decisions:

- Most decisions aren't truly important. Focus on the few truly vital decisions and delegate the rest if possible.
- Something important is always happening under the radar and many key decisions are being made without your realization. If you're losing your top staff or customers, it means that bad decisions have already been made. Step back and look for things that you may be missing, e.g. what's working surprisingly well.

KEY QUOTES

"If it ain't broke, make damn sure it doesn't break."

"Making use of these 80/20 structural influences can turn mediocre salespeople into good ones and good ones into superstars."

"Business requires decisions: frequent, fast, and often without much idea whether they are right or wrong."

"Don't be afraid to experiment and don't persevere with losing solutions. Do not fight the market."

- For vital decisions, use the first 20% of available time to do 80% of the data gathering and analysis, then make your decision.
- The best way to validate a market decision is to test it out in the market. If a decision is obviously not working, change it early. If it's working well, double your investments.



Inventory management. 20% of your stocks will account for 80% of your revenues.

- Drastically cut stocks for your unprofitable products.
- Have fewer variants for each product.
- Where possible, hold minimal inventory—pass them on to other parts of the supply chain (e.g. suppliers or customers), use technology or virtual inventory.
- For your remaining inventory, use the 80/20 Principle to reduce costs and increase the speed of movement.



Project management. To be effective, a project manager must:

- Simplify the objective/task. Get clear on 1 key goal and focus on 20% of activities that will deliver 80% of the project value.
- Set stretch targets and timelines to force the team to work on the truly critical items.
- Plan/design first. Identify no more than 7 top issues to be resolved, allocate the work and review/adjust your plan regularly. For design projects, get the design right before implementing it.



Negotiations are important in any business.

Know the few points that truly matter but play up the trivialities.

- Build up a list of requests and concerns that seem important to you, so you can concede on the unimportant points to get concessions on the important points.
- 80% of the concessions will happen in the last 20% of the time. Pace yourself and negotiate hard closer to the deadline.

KEY QUOTES

"Focus on the most important customers, focus on a simple product line, simply tracked and simply delivered."

"Impatient people don't make good negotiators."

The 80/20 Principle In Life



80% of your achievement comes from 20% of your efforts, 80% of your happiness comes from 20% of your life experiences, and so on. To use the 80/20 Principle, **you must transform the way you think and act, so you become extremely selective and focus only on what matters.**



Get clear on what you want. Most people spend the bulk of their time with people they don't like, doing things they don't enjoy, and waste energy pursuing things that don't matter. To have everything you want—including your ideal job, relationships and lifestyle—you must first *know* what you want. For example:

- **Lifestyle:** What lifestyle would you genuinely want and thrive in? Consider where/with whom you'd want to live, what you desire for your work, family or social life, how you'd fulfill your potential and make your desired contributions.
- **Career:** It's possible to align your work with other things you enjoy outside of work. Consider your ideal career options against 2 key dimensions: (i) ambition i.e. how driven you are by achievement and career success and (ii) autonomy i.e. how far you'd like to work for/with others.



Time Revolution. It's a myth that you're short of time and must squeeze more into every available minute. You're likely to achieve much more when you're calm and collected than when you're acting in a mad rush.

KEY QUOTES

"The key is not effort, but finding the right thing to achieve."

"Be clear about the optimum point you are trying to reach and view it within your life's total context."

"We don't need time management—we need a time revolution."

- Resist the urge to rush into action. Set aside time for deep thinking and reflection, so you gain deep insights into the actions that will bring massive results with minimal inputs.
- Stop feeling guilty about working less or doing things you enjoy. If you double the time spent on your top 20%, you could work for 2 days in a week and still achieve 60% more than your current results. Systematically identify the 20% that will give you 80% in every area of your life, and keep doubling the time/effort for the top 20%. That way, you can multiply your wealth, happiness and knowledge.
- Don't feel bad about reducing or removing the 80% low-value activities—these activities produce so little results that no one may even notice if you drop them.
- Dare to be different. To get breakthrough results with 20% of your time, be prepared to do things that seem weird or unusual.



Achievement and career. To succeed, choose the right goals and playing fields. Direct your efforts toward areas where you have a comparative advantage, i.e. you do exceptionally well and deliver high value with minimal effort.

- Specialize in a niche. It's much better to know 1 thing really well than to know many things superficially. Pick a niche that you enjoy, excel in and can become an undisputed leader. Develop a core skill until you're the best (or one of the best), such that you do things better, faster and can command a premium. Focus on the market/customer segments that'll value your services and whom you can serve especially well.
- Multiply your achievements by repeating, upgrading or expanding on what you excel in. Identify what you do exceptionally well and find unusually easy. Ask questions like: When did I get the most positive feedback? What approaches have worked best for me? What do I enjoy more and do better than 95% of my peers?
- Learn from the best people/firms who're already using the 80/20 Principle in your niche. Find ways to work with and learn from them, to learn what they're doing differently.

KEY QUOTES

"Achievement is driven by insight and selective action."

"Be unconventional and eccentric in how you use your time. Do not follow the herd."

"You are more likely to win when you are selective about the races you enter."

"You will not create anything of enduring value unless you love creating it."

"The 80/20 Principle is clear. Pursue those few things where you are amazingly better than others and that you enjoy most."

- Leverage time/resources. In the early stages of your career, focus on applying the 80/20 rule to create as much value as possible. Then, seek to capture most/all the value for yourself by becoming self-employed as early as possible. Finally, leverage others time/talent by (i) hiring value creators who add much more value than they cost, (ii) outsourcing non-core areas and (iii) using money to gain surplus value e.g. by buying cost-effective tools/machines.

 Money. It's easier to make money than what most people think.

- You have the best chance of earning lots of money if (i) it's an area you enjoy and (ii) there's a large job market. Explore related vocations until you find one that you like and pays well, e.g. there are many similarities between an actor and a politician.
- 80% of the wealth are made by self-employed professionals and business owners. Once you're in the right profession, get really good at it, then aim to become self-employed and eventually employ others if you're comfortable with it.
- Multiply your money by saving, investing and practicing sound money management. The earlier you start investing, the faster you can enjoy the effects of compounding. Here are a few of Koch's investment tips:
 - (i) Choose an investment strategy that reflects your personality, e.g. aggressive vs conservative.
 - (ii) Put 80% of your capital in 20% of the investments that give you the best returns. Focus on and become really good at your core areas of investments, e.g. the industry you're working in, your hobby or geographical area.
 - (iii) Invest for the long term. Avoid switching portfolios or moving in and out of the market regularly.

 Relationships. All of us need personal and professional relationships. Yet, we tend to neglect our most important relationships. Choose your allies carefully (including your life partner) and nurture these key relationships with care. Be selective with the people you spend time with and the obligations you agree to.

KEY QUOTES

"The key to earning more and working less is to pick the right thing to do and to do only those things that add the highest value."

"Conventional wisdom is not to put all your eggs in one basket. 80/20 wisdom is to choose a basket carefully, load all your eggs into it, and then watch it like a hawk."

"There is a trade-off between quality and quantity and we consistently undercultivate what is most important."

- Make 2 lists of (i) your top 20 friends and loved ones and (ii) your top 20 business relationships or allies.
- Rank the people on each list and allocate 100 points between them. For your personal relationships, assign the 100 points based on how deep/close you are and the extent to which the relationship enhances your life. For your business relationships, rank them in terms of how far they've helped you and allocate the 100 points amongst the top 10 allies based on their future ability to help you.

(i) Identify the personal relationships that are disproportionately important to you, and devote quality time and energy to strengthen and deepen them.

(ii) Aim to cultivate 6-7 top business allies including 1-2 mentors, 2-3 peer relationships and 1-2 mentees.

(iii) Ensure that your core relationships satisfy these 5 key attributes: mutual enjoyment of each other's company, respect, shared experience, reciprocity and trust.



Happiness. Generally, 20% of our life experiences give us 80% of our happiness. Expand the 20% as much as possible, minimise the times/experiences when you're least happy or find ways to enjoy them more.

- Develop emotional intelligence to become more aware of your feelings and how to manage them. When something unpleasant happens, catch your negative thoughts and find new ways to interpret events. Learn to think of yourself in more positive ways.
- Take control of your life by taking steps to prevent the same mistakes from occurring, avoiding people/events that make you unhappy, and spending more time around people who make you happier.
- Maximize your satisfaction and happiness in the moment. Build happiness habits, e.g. exercising, helping others, enjoying a break with a friend, giving yourself a pat on the back, meditating or stimulating yourself mentally.

KEY QUOTES

"For both personal and professional relationships, fewer and deeper is better than more and less deep... Choose with care. Then build with commitment."

"None of us can ever have complete control over events but we can have much more control than we think."

"Money not spent can be saved and invested and...multiplied. But happiness not spent today does not lead to happiness tomorrow."



Conclusion and Other Details in the Book

In a nutshell, keep applying 80/20 thinking until it becomes an integral part of how you think and act. Always remind yourself to focus on the vital few and step back regularly to avoid becoming lost in trivialities.

Besides the key ideas outlined in this summary, the book also includes details of how the 80/20 Principle has been conceptualized and applied over the decades. Koch provides examples of how various companies have used the principle, with additional insights and contributions from readers who have applied the principle. For more details, please visit www.the8020principle.com.

About the Author

Richard Koch (born 1950) is an entrepreneur, investor, author and speaker best known for his books on how to apply the Pareto Principle. Using these concepts, he has made a fortune from several private equity investments. Koch was formerly a consultant at the Boston Consulting Group and a partner at Bain and Company, before co-founding L.E.K. Consulting. For more details, please visit www.richardkoch.net.



KEY QUOTES

"By using little bets and the law of remarkability, you greatly increase your chances of finding ways to transform your mission from a compelling idea into a compelling career."

 Constraints can be blessings in disguise as they push us to explore new skills and solutions. Accept your weaknesses so you can address them and forge new paths which you may not otherwise have considered.

Love Everything, including your Obstacles



 Be grateful for your problems and the opportunities they bring. The Romans dubbed this *amor fati*, a "love of fate". When Thomas Edison was told that his house and labs (along with his years of research and prototypes) were on fire, he didn't despair. Knowing he couldn't reverse the event, he called his family to enjoy the beautiful, colourful fire being produced from the lab chemicals. Then, he rebuilt everything with vigor. Within 1 year, he made back 10x of what was lost.

 Accepting something is better than feeling bitter and frustrated. But, the *best* response is to embrace the situation and take action cheerfully to create the biggest possible impact.

Persevere Till the End



 Persistence is about sticking it out till you overcome an obstacle. Perseverance is about confronting obstacle after obstacle, never giving up no matter how many rounds of problems you face. After 10 years at war, legendary Greek hero Odysseus was blown away from his homeland just before reaching its shores. He persevered through another 10 years of life-threatening trials before he eventually made it home.

 Know that you are capable of overcoming anything with unassailable will and purpose. Be prepared to play the long game.

KEY QUOTES

"We don't get to choose what happens to us, but we can always choose how we feel about it."

"Perseverance is something larger. It's the long game. It's about what happens not just in round one but in round two and every round after...until the end."

Focus on Helping Others



When you're facing a huge challenge, focusing on yourself will only make you feel all alone, leading to despair and hopelessness. However, when you focus on a wider purpose or how your actions will impact others, it distracts you from your own fears/pain and gives you strength to go on. When Commander James Stockdale was captured during the Vietnam War, he knew that he'd inevitably be tortured for information. Instead of worrying about his own survival, he focused on his mission and role as a leader. He used his energy to create a support network amongst his fellow prisoners, gave them a purpose and helped them (and himself) to survive the dire situation.



Strength is more easily found in service to others. Fortify your will by focusing on something bigger than yourself.

Contemplate Death



Every human being will die. In fact, you could die at any moment without warning. Contemplate mortality by asking yourself: what would you do if you only had a short period left to live? Then, live your life as if that were the case. After nearly dying in a horse-riding accident, French nobleman Michel de Montaigne stopped fearing death. He embraced life and went on to become a famous writer, mayor, dignitary, and royal confidante.



Use your mortality to create urgency. Seize the day and live intentionally. When you can embrace death—the biggest possible obstacle in your life—all other challenges will seem small in comparison.

Embrace the Cycle of Life



Life will never stop throwing you challenges. In fact, the more you achieve, the bigger the challenges you'll face. Don't delude yourself into thinking that you'll ever be problem-free. Instead, pace yourself, keep things in perspective, continuously take action and grow

KEY QUOTES

"Lend a hand to others. Be strong for them, and it will make you stronger."

"Shared purpose gives us strength."

"Death doesn't make life pointless, but rather purposeful."

"See things for what they are. Do what we can. Endure and bear what we must."

stronger with every obstacle you conquer. Combine Perception, Action and Will, and let the obstacles lead the way.



Other Details in the Book to Look out For

In this book, Holiday presents a series of stories and citations to show you how to perceive, take action and persevere in face of obstacles. In this summary, we've only outlined the key ideas and selected examples. For more details, please visit <https://ryanholiday.net/>.

About the Author



Ryan Holiday (born 1987) is an American author, marketer, entrepreneur and founder of Brass Check (a creative advisory firm). He began his professional career at the age of 19, and is a media strategist, a former director of marketing for American Apparel and a media columnist and editor-at-large for the New York Observer. Holiday has been credited by the New York Times with the increasing popularity of stoicism.

KEY QUOTES